

ENTREPRENEURIAL AWARENESS

The learner should be able to

1. Discuss legal aspects of a business
2. Identify and discuss various legal forms of business ownership

Legal aspects of business

An entrepreneur should be aware of certain legal requirements that will affect his business **this** include an understanding of;

1. Business laws and regulations
2. Legal forms of business organizations

Business laws and regulations

These are government laws and regulations that an entrepreneur needs to comply with. They include;

1. Product safety laws
2. Building laws
3. Labour laws
4. Insurance
5. Taxation etc

Product Safety and Liability

It is very important for the entrepreneur to assess whether any product that is to be marketed in the new venture is subject to any regulations under the consumer product.

In addition to setting standards for products the commission also has a great deal of responsibility and power to identify what to consider being a substantial hazard and barring any products that may be considered unsafe.

Any products introduced by entrepreneurs must obtain clearance from the Kenya bureau of standards under the consumers protection Act.

Building laws-These are laws enacted to ensure safety and suitability of business premises.

Labour laws –these laws guide the relationship between employer (entrepreneur) and employee e.g., employment Act, workers injury Act, labour relations Act, industrial attachment Act etc.

Insurance –certain types of insurance are required by the law and cannot be avoided e.g., third party vehicle insurance

Taxation – its mandatory for business people to pay tax to Kenya revenue authority

FORMS OF BUSINESS ORGANISATIONS

Overview of forms of businesses

Business enterprises /organizations are of diversified nature from the point of view of ownership, control and size. A business enterprise may be owned by one person or a group of persons or it may be controlled by the owners themselves or by managers on behalf of the owners. The forms of business organizations can be classified as under

1. Private sector- which comprises of businesses owned by private individuals either singly or in groups. E.g. sole-proprietorships, partnerships and limited companies.
2. Public sector-which comprises of business organizations owned by the government. The government owns them either wholly or through majority shareholding e.g. parastatals, local authorities.

Private sector organizations can further be classified as incorporated and unincorporated businesses.

- a) Incorporated businesses- it is a business or a corporation with a separate entity from the business owner and has natural rights e.g. public and private limited companies.
- b) Unincorporated businesses- it is a business or a corporation where the owner and an unincorporated business are the same, and the owner personally bears all risks and liabilities of the business. Unincorporated businesses are usually sole proprietorships or partnerships.

SOLE PROPRIETORSHIP / SOLE TRADER BUSINESS

This is a business owned and operated by one person. He is the owner and manager of the business although he may get assistance from family members or a few attendants that he may have employed.

Requirement for formation of Sole proprietorship

Basically the sole trader is required to look for a business premises from which to run the business and obtain a trading/single permit license from the local authority.

Characteristics of Sole proprietorship

- a) Capital is contributed by the owner who cannot appeal to the public at large to subscribe to the capital.

- b) The owner is the organizer and manager of the business assisted by members of his family. He may also employ an outsider but all the risks fall upon the owner.
- c) The owner takes all the profits and suffers all the losses and risks.
- d) The liability of a sole trader is unlimited i.e. in the eyes of the law there is no distinction between him and his business and in case of failure to pay debts the creditors of the business can claim payment from his personal property.
- e) It is the most common form of business ownership and is found in retail trade and persons engaged in direct services such as lawyers, doctors, accountants etc.

Sources of Finances for sole proprietor

- a) Personal savings
- b) Sale of personal assets
- c) Inheritance from parents
- d) Borrowing from relatives/ friends
- e) Loans from micro finance institution e.g. Faulu Kenya, Kenya women finance trust
- f) Loans from SACCOS
- g) Government grants in form of youth fund, women fund and Uwezo fund
- h) Conversion of personal assets into business assets
- i) Donations/ grants from NGO's

Advantages and disadvantages of a sole proprietor

Advantages

- i. Requires little capital to start as compared to other forms of business ownership such as partnerships and companies.
- ii. Enjoys profit alone/ his efforts thus determines profits
- iii. Easy formation process- requires only a premises and trading license
- iv. Enjoys business secrets
- v. There is direct contact between the owner and the customer; this leads to customer satisfaction.
- vi. Control of the business is easy as the owner is the final decision maker; this often leads to fast decision making

Disadvantages

- i. Lack of sharing of responsibility thus the owner may be forced to overwork. This can lead to fatigue and sometimes health problems.
- ii. The life of the business is pegged on the life of the owner i.e. business continuity/perpetual succession is not guaranteed after the death of the owner
- iii. Incurs the losses and risks alone
- iv. The sole proprietorship has unlimited liability- personal assets of the owner can be sold to recover the liabilities of the business.
- v. There are limited sources of capital due to high risk levels and lack of security for debt finances
- vi. Lack of second opinion in decision making; this may lead to bad decisions.

PARTNERSHIP

A partnership is an association between two or more persons carrying out a business in common with a view of making profit; two or more people jointly run the partnership. The number of the partners will depend on the type of the partnership e.g. trading business that do not require any professionalism may have 2-20 partners while personal and Professional business partnership that requires skills of operations such as medical and advocate practice may have 2-50 partners. The partnership is managed by the partners. They share responsibilities and duties according to their availability. However they can hire people to work for them.

Features of partnership

- a) Just like sole proprietor **partners have unlimited liabilities** i.e. partners are held liable for the debts of the business and they risk losing their personal property to meet such debts.
- b) The **partners contribute the capital** to start and run the business and no appeal is made to the public to subscribe to the capital.
- c) The **partnership has a limited life** i.e. it lacks continuity on death withdrawal, bankruptcy, retirement of a partner.
- d) Each **partner act as an agent** of the firm with authority to enter into contract on behalf of the partnership.
- e) Each **partner is responsible for the debt and losses** of the firm.
- f) **Responsibility, profit and losses are shared on an agreed basis**

Requirement for formation of partnership

In Kenya, all **partnerships are formed in accordance with the Partnership Act**. The formation of partnership may be simply by agreement between the partners. Partners can agree to use their personal name to constitute the name of the firm or use a name quite distinct from their own. If they use a name distinct from their own, the partnership's name must be registered under the registration of business names act. Partners should also agree on how the proposed business will be run to avoid future misunderstanding. The partnership agreement can be oral or written. A written legal agreement is referred to as a **partnership deed**.

Contents of the partnership deed

- ❖ Name, address, location and nature of the business.
- ❖ Names, addresses, occupations, duties and rights of the partners.
- ❖ Types of partners.
- ❖ Salaries to be paid to the active partner
- ❖ Amount of capital to be contributed by each partner.
- ❖ Duration of the partnership.
- ❖ The procedure for sharing profits and losses.
- ❖ Method of dealing with the death, retirement and insolvency of a partner.
- ❖ Methods of admitting a new partner.
- ❖ Methods of solving disputes.
- ❖ Agree on what should be done on the dissolution of partnership
- ❖ Interest to be charged on capital and drawings.

NB: **Drawings** is anything taken by the partners for their own personal use and not for business purposes.

In the absence of a partnership deed the business should be governed by a **Partnership Act** as provided by the laws of Kenya.

Contents of the Partnership Act

- ❖ All the partners must contribute equal capital.
- ❖ Every partner must take part in management of the partnership.
- ❖ No salary is payable to any partner.
- ❖ No interest will be allowed on capital or drawings

- ❖ Losses and profit will be shared equally
- ❖ Every partner has a right to inspect the books of accounts
- ❖ No partner should carry a competing business
- ❖ No admission of a new partner without the consent of all the partners
- ❖ Anyone partner who incurs loss on behalf of the partnership must be compensated.

Types of partnership

a. Ordinary/ general/unlimited partnership

This is a partnership in which all members have unlimited liability i.e. they are answerable for all debts of the firm to the extent of selling their personal property.

b. Limited Partnership

This is a partnership in which the liability of the members is restricted to the amount of capital they have put into the business. Limited partners do not participate in the management of the firm. Therefore there must be at least one partner whose liability is unlimited.

c. Temporary Partnership

This is a partnership formed for an agreed period of time. Its ripe period is known when it is being formed e.g. Two constructors may come into partnership to undertake a certain project and after its completion, they dissolve the partnership.

d. Permanent Partnership

It's meant to continue indefinitely and therefore its end is not known. e.g. the two constructors mentioned above may continue taking one project after another indefinitely.

e. Trading partnership

This is a partnership whose major activity is production, purchasing and selling of goods.

f. Non –trading partnership

It is a partnership, whose major activity is to provide services to the public e.g. medical, advocacy and accounting services.

Types of partners

i. Active partner

He is involved in daily management/operation of the partnership on behalf of the other partners. He is normally paid a salary for assuming this role. However it should be noted that the other partners are equally liable for the actions of the active partner.

ii. Sleeping / passive/ dormant/ silent partner

This partner is not involved in the day to day affairs of the business. He invests capital into the business but his share of profits will generally be lower than that of the active partner.

iii. Real partner

He is real partner in the sense that he contributes capital, shares in losses and debts of the business. He was also present when the partnership was coming to being.

iv. Quasi/ nominal partner

He is a half partner in the sense that he does not contribute capital or share in the losses and debts of the firm but shares in the profits. He only **allows the business to use his name as a partner.** He is normally a celebrity or a famous person who has been admitted into the partnership to influence customers or for prestige.

v. Major partner

This is a partner who has attained the age of the majority (18years); this partner shares in the losses and liabilities of the partnership

vi. Minor partner

This is a partner who has not attained the age of the majority and is admitted with the consent of all existing partners. He does not share in the losses but shares profits. The liability of the minor is limited only to the amount of capital contributed to the business since any liabilities arising may not be part of his decision making. The minor partners can act on behalf the partnership and such acts shall be binding on the other partners. When the minor partner attains the age of majority he/she has up to six months to decide whether or not to continue with the partnership. If he/she decides to stay, he has full responsibilities and rights of a major partner.

Dissolution of partnership

This is bringing a partnership to an end. A partnership may be dissolved in the following circumstances:

a) Dissolution by the partners

- i) When the fixed time if any are stated in the articles of the partnership expires.
- ii) If the partnership was specifically entered into for a given venture, transactions or undertakings the completion of which or achievement will automatically dissolve the partnership.

- iii) If the partnership is a partnership at will, it can be dissolved by any partner giving notice of his intention to dissolve the partnership.
- iv) By mutual consent of all partners
- v) By bankruptcy or death of one the partners.

b) Dissolution by law

- i) Withdrawal, bankruptcy or death of general partner.
- ii) If any events occur which will make the partnership business illegal, the partnership will stand dissolved irrespective of the content of the partnership deed.

c) Dissolution by the court order

A court may order a partnership to be dissolved if a partner applies for the court order. It may be based on the following circumstances.

- i) By one partner's shares in the partnership being charged or attached by a court order for private debts.
- ii) If any one of the general partners becomes insane.
- iii) If any of one partner becomes permanently incapacitated thus incapable of performing his/her duties.
- iv) Where a partner has acted in a manner which is pre-judicial to the carrying out firm's business and may bring the name of the business to its disable.
- v) Where a partner was found guilty of breaching the partnership contract.
- vi) Where the firm has been operating in losses.
- vii) Internal disagreements
- viii) In case of serious fraud

Advantages disadvantages of partnerships

Advantages

- a) It is easy to form- there are few legal formalities required as compared to larger companies
- b) There is freedom to undertake any business agreed upon
- c) More capital can be raised from the members contribution making it easy to expand

- d) There is specialization with each partner taking part in the areas they are best suited ie the partnership enjoys a variety of skills and talents since people have different methods of knowledge ideas and experience leading to efficiency.
- e) There is even distribution of work which reduces the work load and fatigue for each partner
- f) Losses and liabilities are shared among the partners
- g) Better decision making as compared to sole proprietorship arising from consultation
- h) Easy to dissolve without legal formalities

Disadvantages

- a) Have unlimited liability except for limited partnership and limited partners ie the general partners are liable for the debts of the firm and may loose their personal property to meet the debts of the partnership
- b) Partnership has a limited life- death, retirement, bankruptcy of a partner may suddenly cause dissolving of the partnership.
- c) Continued disagreement may lead to dissolution of the partnership
- d) Has limited access to capital since partnership is not a separate entity like joint stock companies obtaining loans from banks may be difficult.
- e) Less freedom of action compared to sole traders as all the partners must agree before a decision is made.
- f) Agency problem i.e. any agreement entered by one partner on behalf of the other become binding on all partners
- g) A hardworking partners efforts are enjoyed by other partners
- h) Slow decision making as all the partners must agree on issues.
- i) Overreliance on one partner may affect the partnership adversely incase the partner retires, dies or withdraws.

LIMITED COMPANIES (JOINT STOCK COMPANIES)

1.4.1 Overview of companies

A company is an association of persons who contribute capital by buying shares in order to carry out business together with a view of making profit. A limited company is formed under the companies Act and is a legal entity, separate and distinct from its members. A company is formed to exist indefinitely until it is liquidated/ wound up or dissolved. It is an association recognized by

the law as having an existence that is separate and distinct from its owners. It has the following rights and obligations as a natural person:

- It can own and dispose property
- It can enter into contract in its own name
- It can hire and fire employees
- It can sue and be sued
- It can form agencies
- It can disseminate information

1.4.2 Features of a limited company

1. **It has a legal personality and has rights and obligation as a natural person** – it is an artificial person and has the right to own property, sue and be sued in a court of law, enter into contracts in its own name etc.
2. **It has a legal entity, separate and distinct** from its owners/members
3. Its **capital is divided into transferable shares**
4. It has a **perpetual succession**- continues indefinitely until it is liquidated- the company is not affected by the death, retirement, bankruptcy of a shareholder.
5. It is managed by a board of directors
6. Members cannot bind a company by their acts
7. It has limited liability

1.4.3 Management of limited companies

The management of a company is in the hands of the board of directors. The initial directors stay in the office till the first meeting (AGM) is held at which new directors are elected. The size of the board is usually determined by the size of the company. Board of directors is charged with the responsibility of formulating and overseeing the implementation of company policies. The board is normally supported by a team of professionals employed to be responsible for the day to day management of various departments. For a public limited company, the directors are required by law to present the company's financial statement at the AGM meetings and file with the registrar of companies.

1.4.4 Limited liability concept

This concept arises due to the fact that liability of members is restricted to the amounts of capital contributed by members and members cannot be called upon to contribute any more money from their personal resources to meet the company's debts. A company can be limited by shares or guarantee.

Companies limited by guarantee

These are companies in which each member guarantees to contribute a fixed sum of money towards the liabilities of the company as long as he/she remains a member. In other words the members' liability is limited by the amount the members have agreed to contribute towards the payment of debts. The members can only be called upon to pay for companies debts up to the amount guaranteed by them.

Companies limited by shares

The liability of each shareholder is restricted to the value of the shares held by him/her i.e. members can only be called upon to pay for company's debts up to the capital they have contributed.

1.4.5 Formation of limited company

In Kenya, limited companies are formed according to the company's Act of 1962 (chapter 486)

For a company to be formed there must be some founder member who come up with the idea of forming the company. These founder members are referred to as promoters. Promoters oversee the birth of a new company and they are in charge of all the requirements and operations until the company is fully in operation. To form a private ltd company one promoter is required and a public ltd company requires seven promoters.

The promoters are supposed to submit to the registrar of companies these documents:-

- i) Memorandum of association
- ii) Articles of association
- iii) List of directors (names, addresses, occupations and statement of agreement to serve as directors)
- iv) Declaration that registration procedure has been duly complied with

Memorandum of Association

It is a document that gives information to the outside world about the company i.e. it governs the relationship between the company and outsiders. It tells the outside world the objectives of the company (what the company was formed to do) its powers, location, the capital it requires etc.

Contents of the Memorandum of Association

i) **Name clause-** this clause states the name of the company with the word limited as the last word in the name. The word limited shows the public that the liability of members is limited by shares or guarantee. A company can select any name as long as:

- It is not prohibited by the law
- Not similar to another
- It has no immoral intention
- It is not abusive especially to the government and presidency.

ii) **Situation clause-** it gives the location of the registered office of the company i.e.:

- Where the company is situated i.e. city, street, building
- Where the company's letters can be delivered
- Where the company can be summoned

iii) **Objectives clause-** it outlines the objectives of the company i.e. activities it is authorized to engage in. A company can only carry out the objectives specified in the memorandum and beyond such powers it is termed ultra-vires. The objective clause serves the following purpose:

- Defines the limits of the company's operations
- Informs the shareholders the purpose their money is put to
- Protects the subscriber from misuse of their money
- Protects outsiders by informing them the limits of the company's operations

iv) **Liability clause**-Shows the liability of the members indicating that they are limited. It is meant to protect the outsiders who may enter into contracts with the company.

v) **Capital clause**-it shows the nominal authorized capital i.e. amount of capital which the company is authorized to raise by sale of shares, the subdivision of this capital into units of shares and the value of each share.

Articles of Association

Gives a guideline on how the internal affairs of the company should be run i.e. it outlines rules and regulations that should guide the relationship between the company and its shareholders and relationship between shareholders themselves.

Contents of Articles of Association

- a) Types of shareholders e.g. ordinary or preference shares
- b) Rights of shareholders e.g. voting rights
- c) Procedure of Issuing and transferring of shares
- d) Procedure of calling and conducting general meetings
- e) Qualifications, duties, powers of directors
- f) Provides guidelines on how officials should be elected eg chairpersons, directors and auditors
- g) Guidelines on how books of accounts should be audited
- h) Procedure of altering share capital

When the above required documents are presented to the registrar of companies and found satisfactory a **certificate of incorporation** is issued. The certificate gives the company legal existence and a separate legal entity. After acquiring a certificate of incorporation a private ltd company can start doing business while a public ltd company must wait for a certificate of trading before it is allowed to start business activities. The certificate of trading gives the company power to commence its business activities. The company must also acquire a trading license from the local authority in the area it is operating.

Differences between memorandum of association and articles of association

Memorandum of association	Articles of association
It deals with relationship between company and outsiders	It deals with relationship between company and its members
It must be prepared by all companies before it is registered	It is not mandatory before registration
It is a main document required for registration	It is a subsidiary document
Can only be amended by law	Can be amended by special resolution by the members
Contain specific number of clauses for companies	Contains varied information depending on the company

Types of limited companies

Companies can assume two forms:

- 1) Public limited companies
- 2) Private limited companies

1.4.6 Public limited company.

Public limited companies invite any member of the public to subscribe to their shares i.e. it draws its members from the whole country. Its membership ranges from seven shareholders to infinite.

1.4.6.1 Features of public limited companies

- i) It has a minimum of 7 shareholders and no maximum limit
- ii) The liability of the members is limited
- iii) It is allowed to subscribe its shares to members of the public i.e. can sell shares through the stock exchange market.
- iv) It must have an authorized share capital authorized by the government
- v) Shares are freely transferable from one shareholder to another
- vi) It is managed by a board of directors- minimum of three directors
- vii) It cannot start its business activities after receiving a certificate of incorporation but has to wait for a certificate of trading.
- viii) It is required by the law to publish its final books of accounts in the news paper

1.4.7 Private limited company

Private limited companies draw their members from a selected group of people e.g. family members, group of friends, work colleagues etc. its membership ranges between 2-50 shareholders.

1.4.7.1 Features of private limited companies

- i) It has a minimum of 1 member and a maximum of 50 members
- ii) It is not allowed to call upon members of the public to subscribe to its shares i.e. it cannot sell shares through the stock exchange market. This is because its shares are sold privately to a selected group of people
- iii) Members cannot transfer shares freely without the approval of the board of directors
- iv) It can be managed by one or two directors however a big private ltd company requires a board of directors
- v) It can start business immediately after receiving a certificate of incorporation. It does not have to wait for a certificate of trading.
- vi) Its final accounts are confidential i.e. it is not required by law to publish its accounts
- vii) It's not necessarily required to prepare the memorandum of association.
- viii) The liability of the members is limited

1.4.8 Advantages and disadvantages of Limited Companies

Advantages of limited companies

1. They have access to large amount of capital raised by sale of shares

2. Companies have perpetual succession- enjoy continuity of business i.e. not affected by death, withdrawal or bankruptcy of a member.
3. Shareholders have limited liability
4. Practice specialization because companies have strong financial base to employ specialists
5. Risk of loss is spread to all the members
6. They enjoy economies of scale i.e. benefits of large scale operation e.g. discounts for purchasing in large quantities
7. They enjoy service of experts in different fields
8. They enjoy separate legal entity from the members who own them

Additional advantages for public limited companies

- 1) They have a wider access of sources of capital than private limited companies
- 2) Their books of accounts must be published and this safeguards shareholders against fraud by management.
- 3) Their shares are freely transferable

Additional advantages for private limited companies

- 1) They can be formed more easily than public limited companies
- 2) Unlike public limited companies they can start their business operations immediately after receiving a certificate of incorporation.
- 3) They are not necessarily required to prepare the memorandum and articles of association.
- 4) Their final accounts are confidential i.e. they are not required by law to publish their accounts

Disadvantages of Limited Companies

1. They require large amount of capital to establish
2. They are required to comply with complicated legal procedures
3. Slow decision making because all decision require approval of Board of directors
4. Shareholders do not participate in management of their own business.
5. It is difficult for shareholders to control the company as management is left in the hands of the board of directors
6. Companies are subjected to high taxes by the government
7. There are chances of mismanagement of shareholders property by directors
8. They must have their accounts audited before presentation to the shareholders
9. They must hold shareholders annual general meetings

Additional disadvantages for public limited companies

1. Their operations are limited by the objectives clause in the memorandum of association
2. They are more costly to form than private limited companies
3. They are exposed to excess government control
4. Minority shareholders are neglected as they have little say in the affairs of the company
5. The accounts of the public company must be published; so there can be little secrecy or privacy about its affairs
6. Sometimes a public limited company grows so big that it becomes difficult to manage

Additional disadvantages for private limited companies

1. They have limited access to a wider range of capital as compared to public limited companies because they can't invite members of the public to subscribe to their shares
2. Share transfer is restricted to members only
3. They cannot achieve major benefits of economies of scale as much as public ltd companies

1.4.9 Sources of capital for limited companies

1. From the public, through the sale of shares
2. Borrowing from commercial banks and other financial institutions
3. Overdrafts from banks
4. Government institutions e.g. KIE (Kenya Industrial Estate), ICDC (Industrial and Commercial Development Corporation IDB (Industrial Development Bank) etc.
5. Getting Supplies inform of trade credits.
6. The business itself inform of retained profits
7. Acquiring property on hire purchase
8. Acquiring property on lease and mortgage
9. Rent revenue i.e. earnings from any investments
10. Profits ploughed back into the company

1.4.10 Dissolution of a Joint Stock Company

When a company has started it's expected to continue with its operations to the future since it is a form of business with perpetual succession. Termination of the life of a company may be through;

1. **Failure to commence business within one year of its formation** – upon this it may be wound up by a court order on application.
2. **The membership falling below the required minimum and this dissolution may be decided by a court order.**
3. **Accomplishment of the purpose or expiry of the period of operation.**
4. **If it fails to comply with statutory requirements of registration** e.g. failure to file annual financial statements to the registrar of companies or engaging in illegal activities.
5. **A resolution by members to voluntarily wind up the company which may arise through;**
 - a. where the company does not have a future on that line of business
 - b. The members wish to sell it as a going concern in order to share profits.
 - c. Where one company is acquired by another and the members wish to discontinue it so as to terminate its existence as a separate legal entity.
 - d. Through a merger with a larger company
 - e. Insolvency – the company is not able to meet its obligations.

1.4.11 Differences between public and private limited companies

Public limited companies	Private limited companies
Have a minimum of 7 shareholders and no maximum	Have a minimum of 2 shareholders and a maximum of 50 shareholders

Shares are freely transferable	Shares cannot be transferred freely without the consent of other members
Invite members of the public to subscribe to shares- can sell through the stock exchange	Cannot invite members of the public to subscribe to shares
Required by the law to publish annual accounts	Not required by the law to publish annual accounts
Cannot start operations after receiving certificate of incorporation but must wait for certificate of trading	Can start business operations immediately after receiving certificate of incorporation
Must have authorized share capital as authorized by the government	It's not a requirement to have authorized share capital
Must always have a board of Directors (minimum of three)	Can operate with even one director
Must prepare memorandum of association	It is not mandatory

1.4.12 Types of shares

A public limited company should prepare a **prospectus** to invite the members of the public to subscribe to its shares. A prospectus is a document that gives the necessary information about the company e.g. the past history and all the information contained in the memorandum of association. There are two major types of shares that can be issued by Joint stock companies:

1. Ordinary shares
2. Preference shares

Ordinary shares

All companies issue ordinary shares which are sometimes referred to as the risk capital of the business. This is because the owner of the share receives a dividend on them only if there are sufficient profits. If profits are too low or no profits are made the ordinary shareholders do not receive dividend. In exchange for the risk the ordinary shareholders have the control of the company in that they have one vote for each share when it comes to electing board of directors who are responsible for the general policy of the company

Characteristics of ordinary shares

- a) It is permanent in nature and can only be refunded in the event of liquidation/dissolution of the company.
- b) It earns dividends as a return to the investments.
- c) The investors carry voting rights and usually each share is equal to one vote.
- d) The ordinary shares are quoted at the stock exchange where they are sold and bought.
- e) It carries the highest risks in the company because it gets its return after other types of shares have got theirs and also in the event of liquidation it is paid last.

- f) The dividends are not a legal obligation on the part of the company to pay.
- g) Where the profits are good ordinary shareholders get the highest return because their dividends are varied.
- h) This type of finance grows with time and this growth is equity which basically is facilitated by retention of earnings.

Advantages of Ordinary Share to Shareholders

1. Ordinary shares have a right to vote and their votes influence the company's activities.
2. Ordinary shareholders can use their shares to secure loan.
3. Ordinary shares are easily transferable.
4. The owners of the ordinary shares earn dividends in perpetuity.
5. The ordinary shareholders benefit from the residual claim in the event of liquidation ie they are entitled to all the remaining profits and properties of the company after all other types of shares and creditors have been paid

Disadvantages of Ordinary Shares

1. Receives no dividend during low or non-profit years.
2. In case of liquidation an ordinary shareholder may lose everything.
3. The sale of more ordinary shares dilutes ownership of the existing shareholders.
4. The dividends of an ordinary shareholder are double taxed.

Preference shares

While ordinary shares provide an attractive investment for those who do not mind the risk of getting no reward in low income years others find that preference shares offer a safer investment because they earn fixed dividend whether the company makes profits or not.

Preference shares falls into several groups

1. Basic preference shares

Holders of which receive a fixed dividend out of profits of the company

2. Accumulative preference shares

A dividend missed in one year is carried forward to the next year

3. Non accumulative preference shares- A dividend missed in one year is not carried forward to the next year i.e. it is foregone completely

4. Participating accumulative preference shares

Not only carry a fixed rate of dividend but also entitle their holders to a further share of surplus profits together with ordinary shares.

5. Redeemable preference shares-these are shares that are bought back by the company after a stated period of time.

6. Irredeemable preference shares - these are shares that are never bought back by the company after a stated period of time. They keep on earning dividend as long as the company is in operation.

NB: Most preference shareholders have no say in the control of the company as majority do not offer permanent capital and have privileged position with respect to dividends payment.

1.4.13 Debentures

If a company does not raise enough capital by selling shares it can also issue debentures. A debenture is a certificate that gives evidence that a company has borrowed money from the person named on its face and undertakes to pay a fixed rate of interest for it. Debentures are simply loans to the company on which a fixed rate of interest are paid even when preference or ordinary shareholders do not receive anything. Unlike shares debenture holders do not share in the ownership of the company.

Types of debentures

- a. **Secured debentures**- They are secured i.e. some property is pledged against them ie the company must secure them with some properties. That is to say if the company fails to pay them, the agreed property must be sold and proceeds used to repay the debentures holders
- b. **Naked/unsecured debentures**- They have no security pledged against them.
- c. **Redeemable debentures**- they are redeemed back by the company after a specified period where holders surrender them back and they are paid principle amount plus interest accrued.
- d. **Irredeemable debentures**- they are never bought back unless the company dissolves.

Advantages of debentures

- a. The holders do not have management control of the company
- b. They do not share residual profits or assets
- c. They are cheaper than to float shares
- d. They can also be issued by private ltd companies

Disadvantages of debentures

- a. Interest payable is mandatory whether profits are made or not
- b. Most of them require security in form of assets
- c. Failure to pay interest can make creditors put the company into liquidation
- d. The company has to put the money aside to redeem the debentures when due
- e. Debenture just like any other Creditors usually give many restrictions

Differences between shares and debentures

Shares	Debentures
Share is part of capital for the company	A debenture is a loan to the company
A share create an owner of the company	A debenture creates a creditor of the company
A share receives dividend as a return	A debenture receives interest as a return
Most Shares are paid dividend only when the company makes profit	Debenture holders are paid interest whether the company makes profit or not
Shareholders have voting rights	Debenture holders do not have voting rights